

It is important to understand, however, that the two terms—book value and intrinsic business value—have very different meanings. Book value is an accounting concept, recording the accumulated financial input from both contributed capital and retained earnings. Intrinsic business value is an economic concept, estimating future cash output discounted to present value. Book value tells you what has been put in; intrinsic business value estimates what can be taken out.

Earnings—central to William’s net present value theory—were only useful in context with invested capital. Despite his obvious regard for William’s theory, Buffett could show that two businesses with identical earnings could possess wildly different intrinsic values if different sums of invested capital generated those earnings. Most surprising was Buffett’s observation that growth in and of itself was not necessarily good, but could in fact destroy value. Only businesses earning a return on invested capital exceeding the rate required by the market should grow. Businesses with returns on capital falling below that threshold were turning dollars in earnings into cents-on-the-dollar in business value.

The valuation of businesses using Buffett’s method is a subjective process, falling somewhere between an art and an inexact science. We can, however, extract some rough guidelines. There are two considerations when valuing a business—the quantitative and the qualitative—and each informs the other. The quantitative leg of a theoretical valuation employing Buffett’s insight is relatively simple:³⁷

The economic case justifying equity investment is that, in aggregate, additional earnings above passive investment returns—interest on fixed-income securities—will be derived through the employment of managerial and entrepreneurial skills in conjunction with that equity capital. Furthermore, the case says that since the equity capital position is associated with greater risk than passive forms of investment, it is “entitled” to higher returns. A “value-added” bonus from equity capital seems natural and certain.

All else being equal, the higher the return on invested capital, the more valuable the business. For example, if we assume all earnings are paid out and we ignore the impact of tax, a business returning 20 percent on invested capital in perpetuity—a “good” business—is four times as valuable as another earning 5 percent on invested capital in perpetuity—a “bad” business. If long-term taxable government bonds yield 10 percent, then the good business earning 20 percent on equity is worth no more than twice